Your AI Rules: Colorado

Prepared with AI from published sources as of November 11, 2026; each requirement cites the source it rests on. This is general information and a template, not legal advice. Have an attorney licensed in Colorado review it before use.

Professional counselor (LPC, LMHC, LPCC) · Prepared November 11, 2026

AI laws to know in Colorado

Law	Status	Effective	What it covers
Colorado: HB26-1139 Use of Artificial Intelligence in Health Care (ch. 325)	Enacted, not yet in effect	January 1, 2027	Sets requirements for carriers and other entities that use AI systems for utilization review, requires human review before a medical-necessity denial, and bars carriers and state medical assistance payers from paying for psychotherapy services conducted by an AI system.
Colorado: HB26-1195 Psychotherapy Artificial Intelligence Restrictions (ch. 358)	In effect	August 12, 2026	Restricts how regulated psychotherapy professionals may use AI systems with clients and requires advance disclosure and written informed consent before AI records or transcribes a session.
Colorado: HB26-1263 Conversational Artificial Intelligence Service Operator Requirements (ch. 208)	In effect	August 12, 2026 (ch. 208); operator duties start Jan 1, 2027	Sets requirements for operators of publicly available conversational AI services, including an AI disclosure, protections for minors, a protocol for prompts about suicidal ideation or self-harm, and a ban on stating that outputs are provided by or equivalent to licensed professionals.

Law	Status	Effective	What it covers
Colorado: SB26-189 Automated Decision-Making Technology (ch. 131)	In effect	May 14, 2026 (ch. 131); developer duties start Jan 1, 2027	Repeals and reenacts Senate Bill 24-205 with requirements for the use of automated decision-making technology in consequential decisions, including decisions about health-care services.

What this means for your practice

- HB26-1195 defines regulated professionals as individuals lawfully permitted to provide psychotherapy services in the state. (effective 08/12/2026) Source
- If you are lawfully permitted to provide psychotherapy services in the state, you are a regulated professional under HB26-1195 (Psychotherapy Artificial Intelligence Restrictions, effective 08/12/2026). (effective 08/12/2026) Source
- Before an AI vendor creates, receives, maintains or transmits protected health information for you, get satisfactory assurance that it will appropriately safeguard the information, documented in a written contract or agreement that meets 45 CFR 164.504(e) (a business associate agreement). Source
- Make reasonable efforts to limit the protected health information you use, disclose or request to the minimum necessary to accomplish the intended purpose, except where HIPAA says the standard does not apply, such as disclosures to a health care provider for treatment. Source

Your professional ethics code

ACA Code of Ethics:

- Obtain permission from clients prior to recording sessions through electronic or other means (ACA Code B.6.c). Source
- Address the issues unique to technology in the informed consent process, including the risks and benefits of using it, and respect clients' freedom to choose whether to use technology within the counseling process (ACA Code H.2.a). Source
- Ensure that records and documentation kept in any medium are secure and that only authorized persons have access to them (ACA Code B.6.b). Source
- Use current encryption standards that meet applicable legal requirements in technology-based communications, and take reasonable precautions to ensure the confidentiality of information transmitted through any electronic means (ACA Code H.2.d). Source

- **If you use technology in counseling, develop knowledge and skills regarding the related technical, ethical and legal considerations (ACA Code H.1.a). Source**

Everywhere: the baseline

- **Get written consent from every adult participant before recording or transcribing a session, whatever your state's general recording law allows.**
- **Use AI tools with client information only under a HIPAA business associate agreement.**
- **Review every AI-assisted note yourself.**
- **Never let AI deliver therapy or make clinical decisions.**

What's in this pack

1. **This briefing**
2. **Consent to the Use of AI-Assisted Documentation Tools**
3. **AI Use Policy**
4. **Client notice: How We Use AI**
5. **AI Compliance Checklist**

Consent to the Use of AI-Assisted Documentation Tools

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Sample Practice · Colorado

This form asks for your permission to use an artificial intelligence (AI) documentation tool in your care. It is separate from your general consent to treatment. You can say no, and saying no will not affect your care in any way.

What the tool does

With your permission, Sample Clinician may use the AI-assisted tool listed below to help write clinical notes. Depending on the tool, it may record or transcribe our session, or work only from notes your clinician writes after the session.

Tool name and vendor	_____
What it captures (audio, transcript, clinician's notes)	_____
Specific purpose	**Drafting clinical documentation for your clinician to review**
Where the data is processed and stored	_____
How long recordings or transcripts are kept	_____
Whether your information is used to train AI models	_____
What happens to the data when your care ends	_____

What the tool does not do

- It does not provide therapy, make treatment decisions, diagnose, or assess risk. Your clinician makes all clinical decisions.
- Your clinician reviews and edits every note before it becomes part of your record.
- Sample Practice uses only tools covered by a business associate agreement under HIPAA, or that do not receive identifiable health information.

Everyone in the session

If anyone else takes part in a session (for example a partner or family member), each adult present must also agree before any recording begins. For a minor, a parent or legal guardian signs as required by law.

Your choices

- You may decline. Your care, scheduling and fees will not change.
- You may withdraw consent at any time, in writing or by telling your clinician. Withdrawal applies from that point on. Ask your clinician what happens to recordings already made.
- You may ask questions about the tool at any time.

Signatures

I have read this form, had my questions answered, and agree to the use of the AI-assisted documentation tool described above.

Client name	_____
Client signature	_____
Date	_____
Other participant(s) or guardian, if any	_____
Clinician	Sample Clinician

Withdrawal: I withdraw my consent as of _____ (date). Signature: _____

AI Use Policy

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Sample Practice · Colorado · Adopted _____ · Next review _____

1. Purpose and scope

This policy sets how Sample Practice selects, approves and uses artificial intelligence (AI) tools, including AI documentation ("scribe") tools, AI features inside practice-management software, and general-purpose AI assistants. It applies to every clinician, contractor and staff member.

2. Principles

1. AI supports clinicians; it never replaces clinical judgment.
2. Clients are told when AI is used in their care and can decline without any effect on their care.
3. Client information goes only to tools that are approved under this policy.
4. A licensed clinician is responsible for every record, whether or not AI helped draft it.

3. Prohibited uses

AI tools may not be used to:

- deliver therapy or interact with clients in place of a clinician;
- make or recommend diagnoses, treatment decisions or risk assessments without the clinician's independent judgment;
- process identifiable client information in any tool without a business associate agreement (BAA) or equivalent written protections;
- record or transcribe a session without the documented consent described in section 5.

4. Approving a tool

Before a tool is used with client information, the practice owner (or designee) records in the register below: the vendor, what data it receives, whether a BAA is signed, where data

is stored, retention and deletion settings, and whether data is used to train the vendor's models (turn this off where possible).

Tool	Use	BAA signed	Data retention	Approved by / date

5. Consent

- Use the practice's *Consent to the Use of AI-Assisted Documentation Tools* form, separate from the general intake consent.
- Get consent before the first session in which the tool is used, and from every adult participant.
- Record consent and any withdrawal in the client's file; honor withdrawal immediately.
- Re-consent when a tool changes in a way that affects what it captures or where data goes.

6. Documentation review

The clinician reviews, corrects and signs every AI-assisted note. Notes must reflect the clinician's own observations and judgment. Do not copy AI output into the record without review.

7. Security and retention

Use the vendor's strongest available settings: encryption, access controls, multi-factor authentication, and the shortest retention of audio and transcripts that the practice's needs allow. Delete recordings once the note is final unless the law or a documented reason requires keeping them.

8. Incidents

Report any suspected misuse, data exposure or significant AI error to the practice owner within one business day. Assess HIPAA breach-notification obligations and the state's requirements, and document the response.

9. Training and review

Everyone covered by this policy reads it and the consent process before using an approved tool. Review this policy at least once a year and whenever a relevant law or the practice's tools change.

10. State and professional requirements

- **HB26-1195 defines regulated professionals as individuals lawfully permitted to provide psychotherapy services in the state. (effective 08/12/2026) Source**
- **If you are lawfully permitted to provide psychotherapy services in the state, you are a regulated professional under HB26-1195 (Psychotherapy Artificial Intelligence Restrictions, effective 08/12/2026). (effective 08/12/2026) Source**
- **Before an AI vendor creates, receives, maintains or transmits protected health information for you, get satisfactory assurance that it will appropriately safeguard the information, documented in a written contract or agreement that meets 45 CFR 164.504(e) (a business associate agreement). Source**
- **Make reasonable efforts to limit the protected health information you use, disclose or request to the minimum necessary to accomplish the intended purpose, except where HIPAA says the standard does not apply, such as disclosures to a health care provider for treatment. Source**

ACA Code of Ethics:

- **Obtain permission from clients prior to recording sessions through electronic or other means (ACA Code B.6.c). Source**
- **Address the issues unique to technology in the informed consent process, including the risks and benefits of using it, and respect clients' freedom to choose whether to use technology within the counseling process (ACA Code H.2.a). Source**
- **Ensure that records and documentation kept in any medium are secure and that only authorized persons have access to them (ACA Code B.6.b). Source**
- **Use current encryption standards that meet applicable legal requirements in technology-based communications, and take reasonable precautions to ensure the confidentiality of information transmitted through any electronic means (ACA Code H.2.d). Source**
- **If you use technology in counseling, develop knowledge and skills regarding the related technical, ethical and legal considerations (ACA Code H.1.a). Source**

How We Use AI

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Sample Practice

Some of our clinicians use AI-assisted tools to help write clinical notes, so they can spend more of each session with you and less time typing.

- **We always ask first. We use these tools in your care only with your written permission, given on a separate form. You can say no or change your mind at any time, and your care will not change.**
- **Your clinician stays in charge. AI does not provide therapy, make diagnoses or decide on treatment. Your clinician reviews every note.**
- **Your information is protected. We use only tools with HIPAA protections in place, and we limit how long recordings and transcripts are kept.**

Questions? Ask your clinician or contact Sample Practice.

AI Compliance Checklist

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For every practice

- ☐ List every AI tool in use, including AI features inside your EHR or practice-management software.
- ☐ Confirm a signed BAA (or no identifiable client data) for each tool; record it in the policy's register.
- ☐ Turn off vendor model training on your data where the tool allows it.
- ☐ Set the shortest workable retention for audio and transcripts.
- ☐ Adopt the AI Use Policy and record the adoption date.
- ☐ Start using the separate AI documentation consent form; collect it before the first AI-assisted session, from every adult participant.
- ☐ Fill in every row of the consent form's tool table (what it captures, purpose, storage, retention, training use, what happens when care ends) before giving it to clients.
- ☐ Post or hand out the client notice "How We Use AI".
- ☐ Add a review step: every AI-assisted note is checked and signed by the clinician.
- ☐ Put a yearly review of this policy on the calendar.

Colorado

- ☐ Before an AI vendor creates, receives, maintains or transmits protected health information for you, get satisfactory assurance that it will appropriately safeguard the information, documented in a written contract or agreement that meets 45 CFR 164.504(e) (a business associate agreement).
- ☐ Know HB26-1139 Use of Artificial Intelligence in Health Care (ch. 325): enacted, not yet in effect, effective January 1, 2027
- ☐ Know HB26-1195 Psychotherapy Artificial Intelligence Restrictions (ch. 358): in effect, effective August 12, 2026
- ☐ Know HB26-1263 Conversational Artificial Intelligence Service Operator Requirements (ch. 208): in effect, effective August 12, 2026 (ch. 208); operator duties start Jan 1, 2027

- ☐ **Know SB26-189 Automated Decision-Making Technology (ch. 131): in effect, effective May 14, 2026 (ch. 131); developer duties start Jan 1, 2027**

Before you rely on these documents

- ☐ **Have an attorney licensed in Colorado review the documents for your practice.**
- ☐ **Check your licensing board's current guidance on AI and recording.**